



FROM INDIVIDUAL TO MULTINATIONAL

Sole proprietorships and partnerships may grow into global names.

- › **Richard Branson** Sole proprietorship that expanded into Virgin empire
- › **Steve Jobs and Steve Wozniak** Partnership that created Apple brand
- › **Bill Hewlett and David Packard** Partners who founded HP technology
- › **John D. Rockefeller, William Rockefeller, Henry Flagler, Jabez A. Bostwick, Samuel Andrews, Stephen Harkness** Partnership that grew into Standard Oil corporation

66%
of EU private
sector jobs are in
small or medium-
size enterprises

WHEN TO MOVE TO COMPANY STATUS

If the need for capital increases (and potential debts grow), forming a company may be beneficial. See pp.16-17.



Profit and control of the business shared



If partner leaves, new partnership needed



Each partner pays tax on own portion of profit



Allows for specialization by each partner



Option to set up a limited liability partnership



Furnish Schedule K-1 (IRS Form 1065) to partners



More partners mean more capital and expansion



New partners bring new business skills

Partnership

Like sole proprietors, partners file only personal tax returns and are liable for business debts.